Logan Finance Corporation Non-QM Purchasing and Underwriting Guidelines [Legacy Update]

July 28 2025 - March 9, 2026

1.12 Prepayment Penalty [Loan Amount Threshold updated to meet PA state law]

Loans with prepayment penalties are not eligible for owner-occupied or second home properties. A prepayment penalty is required for investment properties, and the prepayment penalty should be equal to six months interest on the amount prepaid that exceeds 20% of the original principal balance unless otherwise restricted by State law. This is known as the California Rule prepay formula.

Alternatively, a fixed percentage of no less than 3% - The prepayment charge will be equal to a fixed percentage and applied to any curtailment or the entire outstanding principal balance during the prepay period.

A prepayment penalty of at least one year is required unless prohibited by state law.

In either case, the prepayment penalty applies to loans that pay off due to sale or refinance (a “hard” prepay).

Logan has the following PPP restrictions case:

Prepayment Penalty not permitted in any of the following states:

- Properties located in Alaska, Kansas, and New Mexico
- Properties located in Illinois with individual vesting and a note rate above 7.99%
- Properties located in New Jersey not vested in a Corporation (C or S Corp) and a note rate above 5.99%
- Properties located in Pennsylvania containing 1-2 units and a loan amount below $ 329,411
- 1 unit Properties located in Michigan
- 1-2 unit properties located in Ohio
- Purchase loans located in Rhode Island

Limitations

- Properties located in Cook County Illinois with loan amounts less than $250,000 must meet IL PPP requirements and require a 3/2/1 step down PPP
- Properties located in Minnesota not permitted for conforming loan limits.
- Properties located in Mississippi step down pre-payment required

2.2.9.5 Ineligible Project Types [Require requirement to follow FNMA guidelines for critical vs non critical repairs]

In addition to Fannie Mae's Ineligible Projects, the following are not allowed: without exception:

- Timeshares
- Condotels/ Condo Hotels
- Co-ops
- Mobile or Manufactured Home Condominium Projects
- House Boats
- Community Apartments, Tenant-in-Common aka "own-your-own" Projects, or other multifamily property types with exclusive use to a specific apartment licensed or leased to an interest owner or shareholder
- Units offered through filings with the United States Securities and Exchange Commission
- Projects with Non-Conforming Use of Land where zoning prohibits rebuild in the event of total or partial destruction
- Projects with revenue sharing agreements with 3rd parties managing the project for short-term rental
- Projects in which year-round occupancy is prohibited
- The project is not located on contiguous parcels of land (buildings separated by public and private streets, or amenities are okay)
- Multi-family units
- Assisted living units
- Units containing transfer fees
- Projects where the subject unit will be transient in nature

Following Characteristics are considered ineligible, however may be considered for exception review and possible LLPA (*characteristics cannot result in layered risk and must be supported with compensating factors for consideration*).

- Units less than 500 square feet
- Units that are not held fee simple
- Condominium conversions with less than two years seasoning (not including gut rehab's)
- Projects with mandatory or upfront periodic membership fees
- Projects for which the HOA is subject to pending litigation for the safety, structural soundness, or habitability of the project
  - Projects where HOA's engineer's report demonstrates that the defects claimed are neither safety, nor structural soundness related can be considered on an exception basis
- Projects where safety and structural soundness repairs have been made and HOA is suing for reimbursement of funds, and additional capital to cure remaining defects may also be considered on an exception basis Projects with pending litigation not fully covered by insurance
- Projects with outstanding critical repairs per Fannie Mae guidelines including but not limited to items that present structural integrity, life-safety, or habitability risks, or

indicate significant deferred maintenance that may impair the long-term soundness of the project
        - Project that have noncritical repairs per Fannie Mae guidelines are eligible without exception, which are include but are not limited to maintenance-related or capital improvement items that do not pose immediate structural, safety, or habitability concerns and are commonly planned, budgeted, or addressed through reserve funding. Additional documentation will be required
    - Projects with greater than 60% investor occupancy
        - For Primary and Secondary Residence transactions, investor occupancy requirement is waived
    - Projects with single entity ownership of greater than 25% (other than the original sponsor or developer)
    - Project where the common areas and amenities are not fully completed
    - Project where the subject phase is not 100% complete
    - Projects with 49 units or less – and exceeds 35% commercial space
    - Projects with 50 or more units – and exceeds 50% commercial space
    - Projects with 20% or more of the units 60+ days delinquent to the homeowner's association, whether regular or special assessment
    - Projects located in Florida and California where the insurance deductible is greater than 7-10% 5% will require project financials to ensure sufficient funds to cover deductible in case of claim
    - Projects with budgets for capital reserves less than 5% of total expenditures
        - If HOA maintains in its reserve bank accounts more than 50% of the annual operating expenditures, annual reserve requirement is waived
        - If a project shows a reserve study, and demonstrates that it is following the recommendations of the reserve study, 5% reserve requirement is satisfied
        - For new construction projects, developer/sponsor capital contributions can be used to meet the reserves requirement

2.2.9.7 Limited Condominium Review: (applicable to warrantable condominium only) [Projects with non-critical repairs are permitted for limited review]

- Minimum Square Feet 500
- Unit held Fee Simple
- The project must be established, 75% of the units conveyed, construction complete, and HOA control transferred to the unit owners
- The condominium HOA must not be involved in active or pending litigation that disqualifies the property from a limited review, except for minor litigations as defined by Fannie Mae
- Projects with significant deferred maintenance failed milestone/building recertifications, or other regulatory directives and code violations for repairs due to unsafe conditions are ineligible
    - Projects with ongoing critical repairs must demonstrate there are no safety and structural soundness findings or related required repairs outstanding to be eligible for Limited Review

    - Projects with non-critical repairs as defined by Fannie Mae will follow Fannie Mae requirements for condo review type
    - Projects in the middle of Building Recertification/Milestone require Non-warrantable Full Review, and Exception consideration. Structural and Safety related repairs must be completed for consideration
- Commercial space in the project is limited to max 35% of project square footage
- The project must be 100% complete with no future phases to be built or annexed
- Projects cannot be managed as a hotel, motel, or be primarily transient in nature
- Projects may not have mandatory upfront or periodic membership fees for recreational amenities owned or operated by a 3rd party or original developer
- Projects for senior care or life care facilities are ineligible
- Projects where a single entity owns more than the 25% not eligible for limited review
- No more than 15% of total units may be 60 days or more past due on common expense or special assessments
- HOA must not receive more than 10% of its budgeted income from non-incidental business operations
- Replacement reserves for capital expenditures and deferred maintenance must be at least 5% of the budget
    - If the project holds in reserve accounts an amount equal to or greater than 50% of the project's annual operating expenses, 5% reserve requirement is satisfied
    - If a project shows a reserve study, and demonstrates that it is following the recommendations of the reserve study, 5% reserve requirement is satisfied

2.2.9.11 Condominium Documentation: [Additional documentation required for condos with repairs]

- Condominium questionnaire
- Master Insurance Policy
- HOA budget and Balance Sheet dated within 90 days
- Title Report
- Declaration of condominium
- Bylaws
- Association rules and regulations
- Legal compliance certification
- Appraisal report
- Any project with non-critical repairs requires the following additional documentation
    - Required documentation is limited to confirming awareness, funding, and reasonable execution planning.
    - Documentation of any special assessments related to the repairs
    - HOA budget and/or financials demonstrating adequate funding
    - Any available inspections, certifications, or recertifications

    - Most recent reserve study, if available and applicable
- Any project with critical repairs requires the following additional documentation to consider an exception
    - Complete engineer's report addressing the condition of the building
    - Letter from a licensed engineer or contractor confirming:
    - The building is structurally sound during the repair period
    - No life-safety or habitability concerns exist while repairs are ongoing
    - No impact on accessibility during or after repairs
    - Signed HOA letter or most recent two HOA board meeting minutes confirming:
    - Awareness of repairs
    - Budget allocation
    - Estimated completion plan
    - Most recent reserve study (if available), dated within three (3) years

3.1.2 Title Exceptions [Guidelines to follow FNMA requirements for Oil and mineral rights]

Logan will not purchase a mortgage secured by property that has an unacceptable title impediment, particularly unpaid real estate taxes and survey exceptions. If survey is not commonly required in particular jurisdictions, the Seller must provide on ALTA 9 Endorsement. If it is not customary in a particular area to supply either the survey or an endorsement, the title policy must not have a survey exception.

The following title exceptions are permissible regarding loans sold to Logan, provided that they are also permissible in accordance with Fannie Mae's title insurance requirements:

- Customary public utility subsurface easements, the location of which are fixed and can be verified.
- Above-surface public utility easements that extend along one or more property lines for distribution purposes or along the rear property line for drainage, provided they do not extend more than 12 feet from the subject property lines and do not interfere with any of the buildings or improvements, or with the use of the subject property, and further provided their violation will not result in the forfeiture or reversion of title or a lien of any kind for damages, or have an adverse effect on the fair market value of the subject property.
- Mutual easement agreements that establish joint driveways or party walls constructed on the subject property and on an adjoining property, provided all future owners have unlimited and unrestricted use of them.
- Encroachments on one foot or less on adjoining property by eaves or other overhanging projections or by driveways provided there is at least a ten (10) foot clearance between the buildings on the subject property and the property line affected by the encroachments.
- Encroachments on the subject property by improvements on adjoining property provided these encroachments extend one foot or less over the property line of the

subject property, have a total area of 50 square feet or less, do not touch any buildings, and do not interfere with the use of any improvements on the subject property or the use of the subject property not occupied by improvements.

- Encroachments on adjoining properties by hedges or removable fences.
- Liens for real estate or ad valor taxes and assessments not yet due and payable.
- ~~Outstanding oil, water, or mineral rights as long as they do not materially alter the contour of the property or impair its value or usefulness for its intended purposes.~~

5.3 Vesting and Ownership [Layered LLC's permitted with the below requirements]

Ownership must be fee simple title. Title must be in the Borrowers name at the time of application for refinance transactions. Loans held in an LLC or Trust at the time of the application for refinance transactions are permitted if the following are met:

- If the property was owned prior to closing by a limited liability corporation (LLC) that is majority-owned or controlled by the Borrower(s)
- If the property was owned prior to closing by an inter vivos revocable trust the Borrower must be the primary beneficiary of the trust.

Eligible forms of vesting are:

- Individuals
- Tenants in common
- Joint tenants
- Inter vivos revocable trust

Ineligible forms of vesting are:

- Land trusts
- IRAs
- Blind trusts
- LP's

Title vesting in an inter vivos revocable trust is permitted when the requirements set forth in this section are followed. The Fannie Mae requirements should be followed to the extent this section is silent. Any created greater than or equal to 5 years of the application date a trust certificate is required.

The trust must be established by one or more natural persons, solely or jointly. The primary beneficiary of the trust must be the individual(s) establishing the trust. The trust must become effective during the lifetime of the person establishing the trust. If the trust is established jointly, there may be more than one primary beneficiary as long as the income or assets of at least one of the individuals establishing the trust will be used to qualify for the mortgage.

The trustee must include either:

- The individual establishing the trust (or at least one of the individuals, if two (2) or more.
- An institutional trustee that customarily performs trust functions and is authorized to act as trustee under the laws of, the applicable state.

The trustee must have the power to hold the title, and mortgage the property. This must be specified in the trust. One or more of the parties establishing the trust must use personal income or assets to qualify for the mortgage. The following documentation is required:

- If the trust was created under California law, a fully executed Certificate of Trust under Section 18100.5 of the California Probate Code.
- If the trust was created under the laws of a state other than California:
    - Attorney's Opinion Letter from the Borrower's attorney or Certificate of Trust verifying all the following:
        - The trust is revocable.
        - The Borrower is the settler of the trust and the beneficiary of the trust.
        - The trust assets may be used as collateral for a loan.
        - The trustee is:
            - Duly qualified under applicable law to serve as trustee
            - The Borrower
            - The settler
            - Fully authorized under the trust documents and applicable law to pledge, or otherwise encumber the trust asset

In addition to the vesting's listed above business purpose/investment loans will allow a loan to close in an LLC or Corporation if all of the following requirements are met:

- The LLC or Corporation is formed in the United States.
- Each Member/Owner of the LLC or Corporation with 20% or greater ownership of the LLC or Corporation must be a Guarantor for the loan and meet the credit qualifications of these guidelines.
- The LLC or Corporation is owned by Individual(s).A Layered LLC is permitted if the following are true
    - Each Owning LLC is owned by Individual(s) members
    - No more than 2 LLC's own the vesting LLC
- A Corporation is not eligible if it is owned by another entity.

If the Guarantor is closing in an LLC, the following documentation is required for review:

- IRS EIN Letter, Bank Verified EIN, or State Verified EIN
- Certificate / Articles of Formation / Organization
- Operating Agreement inclusive of all schedules, amendments and resolutions. Corporate resolutions/amendments changing ownership interest dated mid-application are not permitted.
- Certificate of Good Standing or evidence of active status on states website

If the Guarantor is closing in a Corporation the following documentation is required:

- IRS EIN Letter, Bank Verified EIN, or State Verified EIN
- Articles of Incorporation
- Certificate of Incumbency and/or Corporate Bylaws setting forth Corporate Officer(s) and Director(s)
- Current Stock Ledger
- Corporate Resolutions (if applicable). Corporate resolutions/amendments changing ownership interest dated mid-application are not permitted.
- Certificate of Good Standing or evidence of active status on states website

In addition to the below documents must be completed as follow

- Loan Application
    - Completed for each Personal Guarantor of the entity
    - Signed by the Personal Guarantor ‘s of the entity
- Personal Guaranty
    - Completed for each Personal Guarantor of the entity
    - Signed by the PG and signed and dated the same date of the note
- Note
    - Signed by the Personal Guarantor
- Mortgage w/Riders
    - Signed by the PG
    - Vested in Entity
- W-9
    - In entity name including EIN
- Disclosures
    - State or Federal disclosures signed by the Personal Guarantor

Example signature block below for the note, security instrument and all riders

ABC Investor, LLC a (______) limited liability company

_______John Guarantor____

By: John Guarantor

Title: [Member, Managing Member etc..]

And

ABC Investor , LLC a (______) limited liability company

_______Joe Guarantor____

By: Joe Guarantor
Title: [Member, Managing Member etc..]

6.6 Mortgage and Housing History Requirements [First time homebuyer and first time investor broken out into separate sections]

6.6.1 First Time Home Buyer

First Time Home Buyer defined as an individual who has not had ownership of a property either solely, jointly or through an entity within the preceding three year period.

6.6.2 First Time Investor

First time investor defined as an investor that does not have at least twelve (12) months of experience owning and/or managing income-producing real estate within the most recent thirty-six (36) months from the origination of the Note.

8.6.3 Gift of Equity Requirements [Gift of equity requirements updated]

Gifts of Equity are permitted, for primary residences only and will require a 10% reduction to max LTV.

Any loan that contains a gift of equity must document the current loan is not in delinquent status. Foreclosure bailouts are not permitted. Payment history will be required to document the payment history.

9. Loan Program Matrix

9.1 Full Doc [Loans In GA are now permitted under all occupancy types]

9.2 Bank Statement [Loans In GA are now permitted under all occupancy types]

9.3 Profit and Loss [Loans In GA are now permitted under all occupancy types]

9.4 Asset Qualification [Loans In GA are now permitted under all occupancy types]

9.8 Foreign National [Loans In GA are now permitted under all occupancy types]